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2027 CYCLE

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CUET UG

Accountancy

# Computerised Accounting System

Official Syllabus Unit V · Class 12 · CUET UG 2027 Cycle Notes

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## Syllabus Alignment

| Sub-topic | Official syllabus pointer (NTA CUET(UG) Accountancy syllabus 2026, the current 2027 baseline, Unit V) | Skills the questions test |
|---|---|---|
| **Concept and types of CAS** | Overview of Concept and Types of Computerised Accounting System (CAS). | Defining CAS in plain words, matching a firm's needs to ready-made, tailor-made, customised, integrated or standalone packages. |
| **Features, advantages, limitations** | Features of a Computerised Accounting System, Advantages, limitations. | Listing the headline features and weighing each advantage against a real limitation. |
| **Structure of a CAS** | Structure of a Computerised Accounting System: chart of accounts, Codification and Hierarchy of account heads. | Reading a chart of accounts, naming the codification method from a code, tracing group → sub-group → ledger. |
| **Accounting information system** | Accounting information system (AIS). | Naming the six AIS components and judging the qualities of useful accounting information. |
| **Electronic spreadsheets** | Accounting Applications of Electronic Spreadsheet. | Connecting spreadsheet tools — formulas, functions, charts — to accounting jobs. |
| **Spreadsheet applications** | Features offered by Electronic Spreadsheet. Applications of Electronic Spreadsheet in generating accounting information, preparing reports using pivot Table, common errors in spreadsheet, depreciation schedule, loan repayment schedule, payroll accounting. | Building pivot tables, spotting spreadsheet error messages, preparing depreciation, loan and payroll schedules. |
| **Graphs and charts** | Graphs and Charts in electronic spreadsheet for Business Data. | Picking the right chart for a business question — comparison, trend, share or ranking. |

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**EXAM PATTERN**

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Accountancy paper (subject code 301) maps strictly to NCERT Class 12, and Unit V closes the syllabus with the computerised layer that runs the same Class 12 bookkeeping on software.

## Concept and Types of CAS

Write one sales entry by hand and you copy it three times — once in the sales book, once in the customer's ledger, once more while totalling the trial balance. A **Computerised Accounting System** (CAS) writes it **once**. The moment the voucher is saved, the software carries the amount to every ledger, every summary and every report that needs it. That single idea — record once, reuse everywhere — is the whole chapter in one line.

- **What it is:** a CAS is accounting done on a computer. Vouchers are entered on screen, and the software records, classifies and summarises them into ledgers and reports automatically.
- **One database:** every account head lives in one store. An entry touches every place it is needed the second it is saved.
- **No unbalanced books:** the software refuses a voucher whose debit and credit totals differ, so ledgers always agree with each other.
- **Reports on demand:** trial balance, P&L, Balance Sheet — any date range — are generated in seconds from the same stored data.

### Manual vs computerised, side by side

| Point | Manual system | Computerised system |
|---|---|---|
| Recording | Written by hand in journals and ledgers | Entered once as a voucher on screen |
| Speed | Slow — every posting is repeated by hand | Fast — one entry updates everything |
| Accuracy | Prone to clerical slips — wrong totals, missed lines | Arithmetic is always correct; only entry mistakes remain possible |
| Balancing | Ledgers totalled and agreed at period end | Balances current after every single voucher |
| Reports | Prepared from scratch each time | Generated instantly from stored data |
| Storage | Registers, files and cupboards | One compact database, easy to back up |

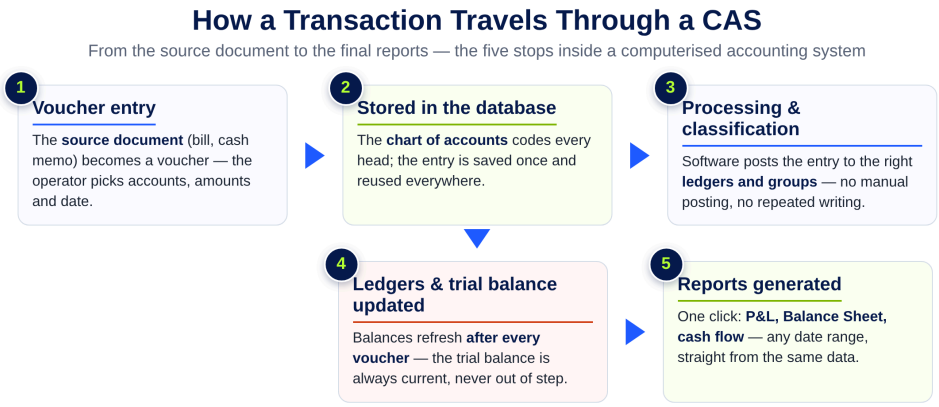



Figure 1: How a transaction travels through a CAS — from the source document to the final reports.

**EVERYDAY EXAMPLE — BUCKET VS PIPELINE**

Carrying water by hand is manual accounting: for every room (ledger) you walk to the well (source document) again. A CAS is a pipeline — you fill it once at the source, and every tap (ledger, trial balance, report) draws from the same pipe. The mapping matters: **one filled source** = one saved voucher, and **every tap** = every report the software builds from that voucher. Fill the pipe with dirty water — a wrong entry — and every tap serves it: garbage in, garbage out.

## Types of CAS: how much customisation?

Software is not one-size-fits-all. The syllabus splits CAS packages by **how much they are shaped to one firm**.

| Type | What it is | Strength | Weakness |
|---|---|---|---|
| Ready-made | Standard software sold off the shelf to any buyer | Cheap, quick to install, well-tested | May not fit special needs; carries unused extras |
| Tailor-made | Built from scratch for one particular firm | Fits the firm's exact working perfectly | Costly to build; needs experts to maintain |
| Customised | Ready-made core modified with firm-specific changes | Middle path — cheaper than tailor-made, better fit than ready-made | Changes must be tested carefully |
| Integrated | Purchase, sales, payroll and banking modules share one database | One entry flows into all reports; no re-typing | Costlier and needs more training than standalone |
| Standalone | One programme does one job — say, payroll only | Simple, cheap, easy to learn | Data must be re-entered elsewhere; no cross-reports |

- **Reading the table as a buyer:** a small shop with ordinary needs survives on a ready-made package; a bank with unique rules will go tailor-made; most firms settle on a customised middle path.
- **Integrated vs standalone is a different axis:** it is about **scope** (how many jobs one system covers), not about how much the code was bent to fit one firm.

## Features, Advantages and Limitations

The software market sells speed, but the syllabus names four headline **features** of a CAS — speed, accuracy, reliability and versatility — and it is your job to separate the **advantages** those features create from the **limitations** that come bundled with them. Learn the four features first; the rest of the section hangs off them.

### The four headline features (plus two bonus ones)

| Feature | What it means in practice |
|---|---|
| Speed | Vouchers post in seconds; a report that took a clerk two days appears instantly |
| Accuracy | No totalling or posting errors — the software's arithmetic never slips |
| Reliability | The system performs the same way every time — month-end rush or a slow Tuesday |
| Versatility | The same stored data produces ledgers, statements, summaries and charts |
| Scalability | 500 more customers or two more branches add no manual workload |
| Instant reporting | Any report, any date range, on screen or printed, on demand |

### Advantages you can defend in a line

- **Fewer clerical errors:** posting, casting (totalling) and balancing are automatic.
- **Faster information:** year-end statements can be previewed mid-year — no waiting for the closing season.
- **Less paperwork and storage:** one database replaces shelves of registers.
- **Better control:** passwords and access levels decide who may enter or change data.
- **Built-in checks:** an unbalanced voucher is simply not accepted.

### Limitations you must not skip

- **Cost:** hardware, software licences, upgrades and trained staff all cost money.
- **Training:** staff must learn the system, and a trained operator becomes a single point of dependence.
- **Dependence on the operator:** the machine follows instructions — a wrong entry still produces beautiful, wrong reports.

- **System failure:** power cuts, viruses and disk crashes can stop work or destroy data, so regular backups are compulsory.
- **Data security:** unauthorised access, theft or tampering of electronic data is a standing risk.

**QUICK DRILL — FEATURE OR LIMITATION?**

Sort these five statements before moving on:

- "Reports appear in seconds" — **advantage** (built on the speed feature).
- "The ledger total is never a casting mistake" — **advantage** (accuracy).
- "A virus wiped yesterday's entries" — **limitation** (system failure + security).
- "Only Ramesh knows how to run the payroll module" — **limitation** (dependence on a trained operator).
- "The firm added two branches with no extra accounting staff" — **advantage** (scalability).

## Structure: Chart of Accounts, Codification, Hierarchy

A library with 10,000 books and no catalogue is useless — you can never find the book you need. A CAS faces the same problem with accounts. Its catalogue is the **chart of accounts**, and the way numbers are handed out is **codification**. Get these two right and the software files every entry in its exact place, forever.

- **Chart of accounts:** the complete, numbered list of every account head the firm uses — assets, liabilities, capital, income and expenses — arranged in a fixed order.
- **Codification:** giving each account head a short code, so the software can find, group and total it at speed.
- **Hierarchy:** heads are arranged from broad groups down to individual ledgers, like folders inside folders.

### Codification: four ways to hand out codes

| Method | How it works | Example | Watch out |
|---|---|---|---|
| Sequential | Every new head gets the next number in line | 1 Cash, 2 Bank, 3 Capital | A new head in the middle disturbs the whole order |
| Block (and decimal) | A fixed range is reserved for each category; decimals open sub-blocks | 1000–1999 assets, 2000–2999 liabilities, 3000–3999 capital, 4000–4999 income, 5000–5999 expenses; 1100 current assets, 1110 cash | Ranges must be planned before the first entry |

| Method | How it works | Example | Watch out |
|---|---|---|---|
| Mnemonic (letter) | Letters recall the account name | FUR furniture, DEP depreciation, SUN sundry debtors | Letter-only codes get clumsy as accounts multiply |
| Combination | Letters and digits together | FUR-01 first furniture account, DEP-02 depreciation provision | Best of both; needs a written code manual |

**EVERYDAY EXAMPLE — THE POSTAL PIN CODE**

A PIN code does not describe the whole address; it tells the sorting machine instantly which state, district and post office owns the letter. Account codes work the same way: the code **1005** tells the software "asset, current, cash-like" before anyone reads the full name. The mapping is honest — **state = group**, **district = sub-group**, **post office = ledger** — which is exactly the hierarchy the next sub-section builds.

### The hierarchy of account heads

| Level | Example |
|---|---|
| Group (primary head) | Assets |
| Sub-group | Current Assets |
| Sub-group | Sundry Debtors |
| Ledger (actual account) | Sharma & Co. |

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- **Only the lowest level carries transactions:** Sharma & Co. receives actual voucher postings; the groups above simply hold the totals of whatever sits below them.
- **Why it matters:** the Balance Sheet is printed from the **group** level, while day-to-day entries are made at the **ledger** level — one structure serves both.

## The Accounting Information System (AIS)

Software alone is not an accounting system. A restaurant is not just its kitchen: it needs staff, house rules, the order slips, the billing machine — and someone checking the cash drawer at night. An **Accounting Information System (AIS)** is the full restaurant: the complete setup of people, rules, data, software, hardware and controls that turns raw transactions into reports a manager can trust and act on. The CAS you studied above is the **software heart** sitting inside this larger body.

### The six components of an AIS

| Component | What it covers |
|---|---|
| People | Operators, accountants, managers, auditors — everyone who enters, checks or uses the data |
| Procedures | The written rules: how vouchers are approved, entered, checked and backed up |
| Data | The transactions themselves — sales, purchases, receipts, payments |
| Software | The CAS programmes that record, classify and report |
| Hardware | Computers, servers, printers, network and power backup |
| Internal controls | Passwords, access levels, checks and backups that protect accuracy and secrecy |

- **People matter most:** the finest software produces nonsense if the operator picks the wrong account head — which is why training is a component, not a luxury.
- **Internal controls are the night watchman:** they run silently, and you notice them only when something goes wrong.

### Qualities of useful accounting information

An AIS produces reports all day. Only **useful** ones deserve attention — and the syllabus names five qualities that make information useful.

| Quality | The question it answers |
|---|---|
| Relevance | Does this figure affect the decision at hand? |
| Reliability | Can it be trusted — free of error and bias? |
| Comparability | Can it be lined up against last year, or against another firm? |
| Understandability | Can a normal reader grasp it without help? |
| Timeliness | Is it available in time to be useful? |

- **The five qualities pull against each other:** a perfectly reliable report that arrives three weeks late fails **timeliness**; a fast but unaudited figure fails **reliability**. Good AIS design balances all five.
- **One-line memory aid:** useful information is **RR-CUT** — Relevant, Reliable, Comparable, Understandable, Timely.

## Accounting Applications of Electronic Spreadsheets

Before dedicated accounting packages, accountants discovered something almost as powerful: the **electronic spreadsheet** — a giant grid of rows and columns that does arithmetic on command.

Change one cell and every formula built on it recalculates by itself. That single behaviour — **change once, update everywhere** — is the spreadsheet version of "record once, reuse everywhere", and it is why the syllabus devotes so much of Unit V to this one tool.

## The spreadsheet's toolkit

- **Rows, columns, cells:** every box is a **cell**, named by column letter + row number — A1, B3, D12. Formulas reach other cells through these **references**.
- **Formulas:** begin with an `=` sign. `=B2+B3` adds two cells. Edit B2 and every formula that uses it updates on the spot.
- **Functions:** ready-made formulas with names — SUM, AVERAGE, IF, SLN, DB, PMT — each examined in the cheatsheet section of this PDF.
- **Formatting:** currency symbols, bold totals, borders and date styles make the sheet presentable without touching a single number.
- **Charts:** select a data range, pick a chart type, and the picture appears — covered in the next section.

## Application 1 — generating accounting reports

- **Linked sheets:** build Ledgers, Trial Balance, P&L and Balance Sheet on separate sheets and **link** them — `=Sales!B12` pulls one figure straight from the Sales sheet.
- **Enter once, update everywhere:** record a sale on the entry sheet and the ledger, trial balance and P&L totals all move together.
- **Templates:** a monthly payroll or cash book sheet is designed once, then reused every month with fresh numbers.
- **What-if analysis:** change the growth rate cell from 10% to 12% and watch projected profit move — accountants test plans this way before committing.

## Application 2 — pivot tables: the instant summary

A **pivot table** re-groups and summarises a long list **without formulas**. You drag fields into place and the table reshapes — hence "pivot". Build one in three steps:

1. **Select the data** — here, four sales rows with columns Region, Month, Sales.
2. **Insert a pivot table**; drag **Region** to rows, **Month** to columns, **Sales** to values (sum).
3. **Read the summary** — or drag a field out and in; the table reshapes instantly.

| Region | Jan (₹) | Feb (₹) | Total (₹) |
|---|---|---|---|
| North | 40,000 | 50,000 | 90,000 |
| South | 30,000 | 20,000 | 50,000 |
| Grand total | 70,000 | 70,000 | 1,40,000 |

- **What the pivot did:** eight raw numbers became a 2 × 2 summary with totals — no SUM typed by hand, and the same pivot works on 8,000 rows.
- **The live-data trap:** a pivot table does **not** edit itself. Change the source data and the pivot keeps old totals until you **refresh** it — a classic wrong-report moment.

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## Application 3 — common spreadsheet errors

| Error | What causes it | What to do |
|---|---|---|
| Wrong cell reference | Typing B2:B19 when the data ends at B10 — totals silently absorb junk | Check the highlighted range before pressing Enter |
| Relative vs absolute mix-up | Copying `=B2*E1` down a column — E1 slides to E2, E3… | Lock the rate cell with dollar signs: `=B2*$E$1` |
| #REF! | The cell a formula pointed to was deleted | Rebuild the reference; undo before closing the file |
| #DIV/0! | A division's bottom cell is empty or zero | Guard it: show a blank when the cell is zero |
| #NAME? | Function name misspelled — SUMM instead of SUM | Fix the spelling; pick functions from the menu |

- **Relative references move when copied**; **absolute references** (`$E$1`) stay pinned. Almost every wrong-schedule disaster in a spreadsheet begins with confusing the two.

## Application 4 — depreciation schedules

The same asset, cost **₹1,00,000**, life **5 years**, salvage nil — scheduled two ways. **Straight Line Method (SLM)** charges an equal amount every year: (1,00,000 − 0) ÷ 5 = ₹20,000 per year. **Written Down Value (WDV)** charges a fixed percentage — here 40% — on the **reduced** balance each year.

**SLM schedule (equal ₹20,000 every year):**

| Year | Opening balance (₹) | Depreciation (₹) | Closing balance (₹) |
|---|---|---|---|
| 1 | 1,00,000 | 20,000 | 80,000 |
| 2 | 80,000 | 20,000 | 60,000 |
| 3 | 60,000 | 20,000 | 40,000 |
| 4 | 40,000 | 20,000 | 20,000 |
| 5 | 20,000 | 20,000 | 0 |

**WDV schedule (40% on the opening balance):**

| Year | Opening balance (₹) | Depreciation (₹) | Closing balance (₹) |
|---|---|---|---|
| 1 | 1,00,000 | 40,000 | 60,000 |
| 2 | 60,000 | 24,000 | 36,000 |
| 3 | 36,000 | 14,400 | 21,600 |
| 4 | 21,600 | 8,640 | 12,960 |

| Year | Opening balance (₹) | Depreciation (₹) | Closing balance (₹) |
|---|---|---|---|
| 5 | 12,960 | 5,184 | 7,776 |

- **The headline difference:** SLM lands exactly on zero; WDV at 40% still shows ₹7,776 after year 5 — a fixed-rate cut always leaves a remainder.
- **Spreadsheet shortcuts:** `=SLN(100000, 0, 5)` returns 20,000 per year, and `=DB(100000, 7776, 5, 1)` returns 40,000 for year 1 — the DB function picks the fixed rate that would land the asset on the salvage value you name.

## Application 5 — loan repayment schedule

A loan taken today is repaid in **EMIs** — **Equated Monthly Instalments**, the same amount every month until the loan ends. Each EMI is a mix: **interest for that month** plus **some principal**. Interest is charged on the **outstanding balance**, so it is largest in month 1 and shrinks every month, while the principal slice grows.

**THE EMI FORMULA — ONE LINE, THREE LETTERS**

$$\text{EMI} = \frac{P \times r \times (1+r)^n}{(1+r)^n - 1}$$

- "P" = the principal — the loan amount today.
- "r" = the **monthly** interest rate — annual rate ÷ 12.
- "n" = the number of monthly instalments.

**WORKED EXAMPLE — ₹1,20,000 LOAN, 12% P.A., 12 MONTHS**

- **Monthly rate:** "r" = 12% ÷ 12 = 1% = 0.01 per month; "n" = 12 months.
- **Compound factor:** $(1.01)^{12} = 1.126825$ (12 months of 1% growth).
- **EMI:** (1,20,000 × 0.01 × 1.126825) ÷ (1.126825 − 1)

**1,352.19 ÷ 0.126825 = ₹10,662 (rounded to the rupee).**

- **Spreadsheet check:** `=PMT(1%, 12, 120000)` returns −10,661.85 — the minus sign is the software's way of saying **cash out**.

The first three months of its amortisation schedule:

| Month | Opening balance (₹) | Interest at 1% (₹) | EMI (₹) | Principal repaid (₹) | Closing balance (₹) |
|---|---|---|---|---|---|
| 1 | 1,20,000.00 | 1,200.00 | 10,662 | 9,462.00 | 1,10,538.00 |
| 2 | 1,10,538.00 | 1,105.38 | 10,662 | 9,556.62 | 1,00,981.38 |
| 3 | 1,00,981.38 | 1,009.81 | 10,662 | 9,652.19 | 91,329.19 |

- **Read the pattern:** interest 1,200.00 → 1,105.38 → 1,009.81 (falling); principal 9,462.00 → 9,556.62 → 9,652.19 (rising). The EMI column never moves.

- **Rounding note:** because the EMI is rounded up to ₹10,662, the **final** instalment absorbs a few paise of adjustment — a one-line note in real schedules.

### Application 6 — payroll accounting

**Payroll** is the monthly routine of computing what each employee takes home. It has three moving parts:

- **Earnings:** basic pay plus allowances — HRA (house rent allowance), DA (dearness allowance) and similar add-ons.
- **Deductions:** PF (provident fund — compulsory savings carved out of salary), professional tax and similar cuts.
- **Net pay:** gross earnings minus total deductions — the amount that finally reaches the employee's bank account.

**WORKED EXAMPLE — ONE EMPLOYEE'S SALARY SHEET**

Basic pay ₹30,000; HRA at 10% of basic; DA at 5% of basic; PF at 12% of basic; professional tax ₹200.

| Component | Earnings (₹) | Deduction (₹) |
|---|---|---|
| Basic pay | 30,000 | — |
| HRA — 10% of basic | 3,000 | — |
| DA — 5% of basic | 1,500 | — |
| PF — 12% of basic | — | 3,600 |
| Professional tax | — | 200 |
| **Totals** | **34,500** | **3,800** |

- **Gross earnings:** 30,000 + 3,000 + 1,500 = **₹34,500**.
- **Total deductions:** 3,600 + 200 = **₹3,800**.
- **Net pay:** 34,500 − 3,800 = **₹30,700** — the number the employee actually cares about.

## Graphs and Charts for Business Data

A spreadsheet full of numbers hides its own story; one good picture tells it in two seconds. Spreadsheets draw charts from any selected range — and because the chart is linked to the cells, editing one number redraws the picture instantly. The only real skill is **picking the right chart for the question you are asking the data** — which is what this section trains.

## The chart picker

| Chart | Looks like | Use it for | Example |
|---|---|---|---|
| Column | Vertical bars | Comparing values across a few categories | Branch-wise sales in October |
| Line | Points joined by a line | Trend over time | Monthly sales, January to December |
| Pie | A circle split into slices | One period's share of a whole | Split of total expenses: salaries, rent, power, others |
| Bar (horizontal) | Horizontal bars | Rankings | Top five debtors by balance |

- **Match the chart to the question:** comparison → column; trend over time → line; share of a whole → pie; ranking → bar. Asking "what question does this chart answer?" settles the choice every time.
- **Keep pies small:** beyond about six slices, comparison collapses — group the small ones into an "Others" slice or switch to a bar chart.
- **Label everything:** axis names, the unit (₹) and a title. A chart without labels is a decoration, not information.
- **Time runs left to right:** in a line chart, months or years belong on the horizontal axis, in order.
- **Charts are live:** they redraw when the data changes — re-check the picture after every edit before you share it.

## One tiny dataset, two different questions

A shop's four branches sold these amounts in October: Delhi ₹60,000, Mumbai ₹45,000, Chennai ₹30,000, Kolkata ₹25,000 — a total of ₹1,60,000.

- **As a column chart:** four vertical bars, tallest to shortest — Delhi, Mumbai, Chennai, Kolkata. The question answered: **which branch sold more?**
- **As a pie chart:** Delhi's slice is 60,000 ÷ 1,60,000 = **37.5%** of the circle, Mumbai 28.125%, Chennai 18.75%, Kolkata 15.625%. The question answered: **how is the whole split?** The same data, two different stories — which is exactly why chart choice is a syllabus point of its own.

# Key Terms & Spreadsheet Cheatsheet

**SPREADSHEET FUNCTION CHEATSHEET — UNIT V**

| Function | Arguments (in order) | One-line purpose |
|---|---|---|
| `=SUM(range)` | the cells to add | Adds all the numbers in a range |
| `=AVERAGE(range)` | the cells to average | Mean of the numbers in a range |
| `=IF(test, value_if_true, value_if_false)` | a condition and two results | Picks between two results based on a test |
| `=SLN(cost, salvage, life)` | cost, scrap value, useful life | Straight-line depreciation for one period |
| `=DB(cost, salvage, life, period)` | cost, scrap value, life, period number | Declining-balance (WDV) depreciation for a period |
| `=PMT(rate, nper, pv)` | rate per period, number of periods, loan amount | The equal instalment (EMI) of a loan |

**Remember the six from this chapter:** `=SLN(100000, 0, 5)` → ₹20,000; `=DB(100000, 7776, 5, 1)` → ₹40,000; `=PMT(1%, 12, 120000)` → ₹10,661.85.

## Key terms in one glance

| Term | Plain-words meaning |
|---|---|
| Chart of accounts | The numbered master list of every account head a firm uses |
| Codification | Giving each account head a short code so the software can group and total it fast |
| AIS | Accounting Information System — people, procedures, data, software, hardware and internal controls working as one |
| Pivot table | A drag-and-drop summary that re-groups long data instantly — and must be refreshed when the source changes |
| EMI | Equated Monthly Instalment — a fixed monthly payment, part interest and part principal |

- **Numbers worth revising from this PDF:** SLM on our sample asset — ₹20,000 a year, ending exactly at zero; WDV at 40% — ₹7,776 left after year 5; the sample loan's EMI — ₹10,662; the sample employee's net pay — ₹30,700; Delhi's pie slice — 37.5% of branch sales.

# Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

| The mistake students make | The correct treatment |
|---|---|
| Mixing up relative and absolute references | Copying `=B2*E1` down slides the rate cell to E2, E3… Lock fixed cells with dollar signs — `=B2*$E$1` — before copying. |
| Expecting a WDV schedule to reach zero | A fixed-rate cut always leaves a remainder — our 40% schedule still shows ₹7,776 after year 5. Only SLM lands exactly on the salvage value. |
| Reversing the EMI interest-principal split | The interest slice is **largest in month 1** and shrinks every month; the principal slice grows. The EMI itself never changes. |
| Treating a computerised system as error-proof | The software adds correctly but cannot judge. A wrong account or amount still produces wrong reports — garbage in, garbage out. |
| Forgetting internal controls when naming AIS components | AIS is not only software — passwords, access rights, the audit trail and backups are components too. |
| Editing source data but not refreshing the pivot table | A pivot keeps showing old totals until refreshed — always refresh after any source-data change. |
| Drawing pie charts with too many slices | Beyond about six slices, comparison fails — group small items as “Others” or switch to a bar chart. |

# The Whole Chapter on One Page




Figure 2: Chapter mindmap — every Unit V idea, and the three traps that catch most students.

# Practice Questions

**Q1.** A firm bought a standard accounting package and then changed its invoice format and added two report fields of its own. The package is now best described as:

(A) Ready-made
(B) Tailor-made
(C) Customised
(D) Integrated

**Q2.** Under a common block-coding plan, the range 1000–1999 is reserved for:

(A) Liabilities
(B) Assets
(C) Income
(D) Expenses

**Q3.** Writing FUR for Furniture and DEP for Depreciation is an example of:

(A) Mnemonic codes
(B) Sequential codes
(C) Block codes
(D) Combination codes

**Q4.** A machine costs ₹1,00,000, has a salvage value of ₹20,000 and a life of 4 years. Its annual depreciation under the Straight Line Method is:

**(A)** ₹25,000 **(B)** ₹20,000
**(C)** ₹40,000 **(D)** ₹16,000

**Q5.** An asset of ₹1,00,000 is depreciated at 40% on the written down value. The depreciation charge for the third year is:

**(A)** ₹14,400 **(B)** ₹24,000
**(C)** ₹8,640 **(D)** ₹40,000

**Q6.** Which quality of accounting information lets a reader line up this year's figures with last year's?

**(A)** Relevance **(B)** Reliability
**(C)** Comparability **(D)** Timeliness

**Q7.** An employee earns a basic salary of ₹30,000. Deductions are PF at 12% of basic and professional tax of ₹200. The total deductions are:

**(A)** ₹3,600 **(B)** ₹3,800
**(C)** ₹400 **(D)** ₹30,700

**Q8.** A loan of ₹1,00,000 carries interest at 12% p.a. and is repaid at ₹9,000 per month. The principal repaid in the first month is:

**(A)** ₹8,000 **(B)** ₹9,000
**(C)** ₹1,000 **(D)** ₹92,000

**Q9.** A spreadsheet cell shows #DIV/0!. The most likely cause is that:

**(A)** a formula divides by a cell that is empty or zero **(B)** a cell reference was deleted
**(C)** a function name is misspelled **(D)** the pivot table was not refreshed

**Q10.** To show the trend of monthly sales from January to December, the most suitable chart is a:

**(A)** Pie chart **(B)** Column chart
**(C)** Line chart **(D)** Scatter diagram

## Solutions

**Sol. Q1.** A ready-made core with firm-specific changes is **customised**. Tailor-made means built from scratch; **integrated** describes modules sharing one database, not how much the code was changed.

**Answer: ( C )**

**Sol. Q2.** The block plan reserves ranges: 1000–1999 **assets**, 2000–2999 liabilities, 3000–3999 capital, 4000–4999 income, 5000–5999 expenses.

**Answer: ( B )**

**Sol. Q3.** Letters that recall the account name are **mnemonic** codes. Sequential and block codes are numeric; a combination code mixes letters with digits, like FUR-01.

**Answer: ( A )**

**Sol. Q4.** SLM spreads the depreciable cost evenly: (1,00,000 − 20,000) ÷ 4 = **₹20,000** a year, landing exactly on the salvage value after year 4.

**Answer: ( B )**

**Sol. Q5.** Year 1: depreciation 40,000, closing 60,000. Year 2: depreciation 24,000, closing 36,000. Year 3: 36,000 × 40% = **₹14,400**.

**Answer: ( A )**

**Sol. Q6. Comparability** is the quality that makes figures usable across years and across firms.

**Answer: ( C )**

**Sol. Q7.** PF: 30,000 × 12/100 = ₹3,600. Total deductions = 3,600 + 200 = **₹3,800**. (₹30,700 would be the **net pay**, not the deduction.)

**Answer: ( B )**

**Sol. Q8.** Month-1 interest = 1,00,000 × 12/100 × 1/12 = ₹1,000. Principal repaid = 9,000 − 1,000 = **₹8,000**, leaving a balance of ₹92,000.

**Answer: ( C )**

**Sol. Q9.** #DIV/0! means a division's bottom cell is empty or zero. Deleted references produce #REF!, and misspelled function names produce #NAME?.

**Answer: ( A )**

**Sol. Q10.** A **line chart** shows a trend over time — months on the horizontal axis, sales on the vertical. Pie shows shares; column compares one period's categories.

**Answer: ( C )**

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